Solution

$$\text{Gross profit ratio} = \frac{\text{Gross profit}}{\text{Revenue from operations}} \times 100$$

$$= \frac{20,000}{1,00,000} = x\ 100 = 20\%$$

Gross profit = Revenue from operations – Cost of revenue from operations
= 1,00,000 – 80,000 = ₹ 20,000

(ii) Operating cost ratio

Operating cost ratio is the proportion of operating cost to revenue from operations. This ratio is a test of the operational efficiency of the business. It is calculated as under.

$$\text{Operating cost ratio} = \frac{\text{Operating cost}}{\text{Revenue from operations}} \times 100$$

Operating cost is the cost which is associated with the operating activities of the business.
Operating cost = Cost of revenue from operations + Operating expenses
Operating expenses = Employee benefit expenses + Depreciation + Other expenses related to office and administration, selling and distribution

A lower operating ratio indicates better profitability. Lesser the operating cost ratio, higher is the margin available for payment of non operating expenses such as interest on loans, loss on sale of fixed assets, etc.

Illustration 14

Following is the statement of profit and loss of Maria Ltd. for the year ended 31st March, 2018. Calculate the operating cost ratio.

Statement of Profit and Loss

Particulars	Note No.	Amount ₹
I. Revenue from operations		8,00,000
II. Other Income		20,000
III. Total revenue (I +II)		**8,20,000**
IV. Expenses:		
Purchases of stock-in-trade		4,50,000
Changes in inventories		-40,000
Employee benefits expenses	1	22,000
Other expenses	2	68,000
Total expenses		5,00,000
V. Profit before tax (III-IV)		**3,20,000**

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